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{ FEDERAL MARITIME COMMISSION }

FEDERAL MARITIME COMMISSION

DOCKET NO. 90-08

**MILITARY SEALIFT COMMAND
v.
SEA-LAND SERVICE, INC., ET AL.**

Provisions in two vessel-sharing agreements among a U.S.-flag carrier and foreign-flag carriers, whereby the foreign-flag carriers have agreed not to use any vessels or space chartered from the U.S.-flag carrier to carry cargo subject to U.S. preference laws, found to be an "allocation" of the Military Sealift Command, as a shipper of preference cargo, to the U.S.-flag carrier within the meaning of section 10(c)(6) of the Shipping Act of 1984.

Where the Maritime Administration of the U.S. Department of Transportation has directed that none of the vessels or space chartered by the U.S.-flag carrier to the foreign-flag carriers be used to transport cargo subject to U.S. preference laws, except under bills of lading issued by, or contracts of carriage entered into with, the U.S.-flag carrier, and where no court of competent jurisdiction has ruled that the Maritime Administration's action was unlawful, "allocation" by carriers of Military Sealift Command to U.S.-flag carrier found to be "required by the law of the United States" within the meaning of section 10(c)(6).

Charna J. Swedarskv, Richard S. Havnes and E. Duncan Hamner for complainant Military Sealift Command.

Stuart R. Breidbart and James P. Moore for respondent Sea-Land Service, Inc.

C. Jonathan Benner for respondent Nedlloyd Lijnen, B.V.

Neal M. Mayer for respondent P&O Containers Limited.

Jeffrey F. Lawrence and Wayne R. Rohde for respondent Compania Trasatlantica Espanola, S.A.

Robert T. Basseches and John Townsend Rich for intervenor American President Lines, Ltd.

REPORT AND ORDER

BY THE COMMISSION: (Harold J. Creel, Chairman: Ming C. Hsu, Joe Scroggins, Jr., and Delmond J.H. Won, Commissioners.)

INTRODUCTION

Section 10(c)(6) of the Shipping Act of 1984 ("1984 Act") makes it unlawful for any conference or group of two or more common carriers to...

...allocate shippers among specific carriers that are parties to the agreement or prohibit a carrier that is a party to the agreement from soliciting cargo from a particular shipper, except as otherwise required by the law of the United States
....

46 U.S.C. app. § 1709(c)(6).

In this complaint proceeding, the Military Sealift Command ("MSC") of the U.S. Department of Defense ("DOD") is contending that four ocean common carriers have violated section 10(c)(6) by agreeing that only one of them, Sea-Land Service, Inc. ("Sea-Land"), would carry cargo subject to U.S. preference laws. MSC's allegation focuses on provisions in cooperative working arrangements, filed with the Commission and in effect under the 1984 Act, that govern the sharing by Sea-Land of some of its vessels with the other respondent carriers.

The carriers' have defended against MSC's complaint by arguing that, properly interpreted, the "prohibition clause" of section 10(c)(6) barring shipper allocations does not outlaw the provisions

¹ As recounted in the text below, one of the respondent carriers is not an active party.

in their agreements dealing with MSC's cargo. The carriers further contend that, in any event, the provisions are lawful because they are "required by the law of the United States," specifically, by certain actions on the part of the Maritime Administration ("MARAD") of the U.S. Department of Transportation.

Presiding Administrative Law Judge Frederick M. Dolan, Jr. ("AU"), issued two orders which together constitute his Initial Decision. In the first order, served February 28, 1995 ("February 1995 Order"), the ALJ held that the provisions governing MSC's cargo amount to a shipper allocation within the meaning of section 10(c)(6), but further held that he (and, by extension, the Commission) lacked authority to decide whether the provisions were "required by the law of the United States." ____ F.M.C. ____ 27 S.R.R. 89. After both MSC and the carriers filed pleadings that objected to this approach, the AU reconsidered and served a second order on June 8, 1995 ("June 1995 Order"), which held that the preference cargo provisions were not "required by the law of the United States." ____ F.M.C. ____, 27 S.R.R. 227. The ALJ therefore concluded that the provisions violate section 10(c)(6) and should be stricken from the carriers' cooperative working arrangements.

Exceptions to the February 1995 Order and the June 1995 Order were filed by the respondent carriers and, separately, by intervenor American President Lines, Ltd. ("APL"). MSC filed a Reply.

BACKGROUND

A. Agreement No. 11171

In February 1988, Sea-Land, P&O Containers Limited ("P&O")² and Nedlloyd Lijnen, B.V. ("Nedlloyd"), filed with the Commission for review under the 1984 Act a cooperative working arrangement, which was designated Agreement No. 203-011171 ("Agreement 11171") and has become widely known as the "Vessel Sharing Agreement ("VSA")". The Agreement stemmed from the acquisition by Sea-Land of twelve large containerships -- known as "Econships" -- from United States Lines, which had gone into bankruptcy and ceased operations in 1986.

Under Agreement 11171, Sea-Land has time-chartered one vessel to each of its two partners. Although P&O and Nedlloyd are foreign-flag operators, the VSA vessels have remained under the flag of the United States: they are deployed in the trades with North Europe and the Mediterranean. Sea-Land, Nedlloyd and P&O may also cross-charter space among themselves and agree on vessel itineraries, stowage plans, service frequency, port calls and related matters. They further agreed to remove all other vessels previously operated by them in the trades and not to add additional commercial capacity except by mutual agreement. The net result was that the total capacity in the trades of the VSA lines was not

² P&O's name at the time was P&O Containers (TFL) Limited, and P&O was identified as "TFL" during much of this proceeding.

increased significantly by the deployment of Sea-Land's twelve vessels. Aside from the cooperative use and management of their vessel capacities, and the additional restriction discussed below regarding U.S.-government preference cargoes, the VSA carriers have remained fully autonomous competitors.

By time-chartering a U.S.-flag vessel, P&O and Nedlloyd gained eligibility to submit bids for military and other government preference cargoes reserved to U.S.-flag vessels, and apparently similar eligibility is achieved by chartering space on a Sea-Land voyage. However, P&O and Nedlloyd agreed in Article 5(i) of Agreement 11171 that they will not use any vessels or space chartered from Sea-Land to carry U.S.- government preference cargo, thus effectively removing themselves as potential competitors of Sea-Land for such cargo. Article 5(h) of the Agreement permits P&O and Nedlloyd to carry preference cargo in the trades covered by the Agreement if they obtain access to other U.S.-flag vessels not subject to the Agreement. However, they are precluded by Article 5(h) from carrying any ordinary commercial cargo on such vessels "[e]xcept as mutually agreed by the parties."

MSC, a component of the U.S. Navy, acts as shipper and arranges ocean transportation between the United States and foreign countries for DOD and DOD-sponsored cargoes. Under the Cargo Preference Act of 1904, only U.S.-flag vessels (or vessels belonging to the United States) may be used for the transportation of military cargo. 10 U.S.C. § 2631. In addition, under the Cargo Preference Act of 1954, MSC is required to ship at least fifty

percent of other DOD cargo in privately owned commercial U.S.-flag vessels. 46 U.S.C. app. § 1241(b)(1).

MSC filed a protest with the Commission against Agreement 11171.3 It argued primarily that the Commission should seek an injunction against the Agreement pursuant to section 6(g) of the 1984 Act, 46 U.S.C. app. § 1705(g), which authorizes the Commission to seek a court injunction against an agreement that is likely to result in an unreasonable reduction in service or an unreasonable increase in transportation costs.

On March 23, 1988, counsel for Sea-Land transmitted to the Commission a letter issued the same day to Sea-Land by MARAD.⁴ The letter gave Sea-Land permission, for which it was required to apply by section 9(c) of the Shipping Act, 1916 ("1916 Act"), to charter vessels and space to Nedlloyd and P&O. Section 9(c) provides that, with certain exceptions not relevant here...,

. . .a person may not, without the approval of the Secretary of Transportation -

(1) sell, mortgage, lease, charter, deliver, or in any manner transfer, or agree to sell, mortgage, lease, charter, deliver, or in any manner transfer, to a person not a citizen of the United States, any interest in or control of a documented vessel. . .owned by a citizen of the United States....

46 U.S.C. app. § 808(c). The March 23 letter stated that MARAD's approval was dependent upon several conditions imposed under

³ Another protest was filed by a carrier, Farrell Lines.

⁴ "Motion of Respondents for a Determination That Their Cooperative Working Arrangement Does Not Violate Section 10(c)(6) of the Shipping Act of 1984," October 26, 1994, Ex. 1 ("Resp. Exhibit 1") at 65-67.

section 41 of the 1916 Act, id. app. § 839. Section 41 gives the Secretary of Transportation broad power to prescribe conditions -- violations of which are crimes punishable by fines, imprisonment and vessel forfeiture -- on transactions covered by section 9. The Secretary has delegated to the Maritime Administrator authority to carry out sections 9 and 41 of the 1916 Act.⁵

Most of MARAD's conditions were not controversial. However, one condition in effect repeated Article 5(i): it required that none of the vessel space chartered to Nedlloyd or P&O "shall be utilized for the carriage of cargo reserved for United States-flag vessels . . . unless such cargo is carried pursuant to bills of lading or contracts of carriage issued [by], or entered into with, . . . a citizen of the United States. . . ." in other words, Sea-Land.

The Commission determined that there were no grounds under the standards of section 6(g) to seek an injunction against Agreement 11171. Accordingly, the Agreement went into effect as originally scheduled on March 28, 1988. However, the Commission reserved a decision on whether Article 5(i) required a formal investigation under section 10(c)(6), pending explanation of certain aspects of MARAD's letter to Sea-Land. On March 31, 1988, then-Acting Chairman Carey wrote on behalf of the Commission to the Maritime Administrator.⁶ The Commission expressed particular concern that MARAD's letter -- or "charter order" -- was susceptible to an

⁵ Sections 9 and 41 were not affected by the ICC Termination Act of 1995, 109 Stat. 803, which repealed other provisions of the 1916 Act effective September 30, 1996.

⁶ Resp. Exhibit 1 at 99-103.

interpretation that the key condition was being imposed merely to acknowledge Article 5(i). The Commission requested that MARAD's charter order be clarified as follows:

Was it the conclusion of the Maritime Administrator that the condition limiting to Sea-Land the carriage of restricted preference cargoes is necessary to further the policies of the 1916 Act? Also, please advise as to any findings made by the Maritime Administrator regarding the possible economic impact on Sea-Land if [P&O] and Nedlloyd were free to compete for preference cargo.

In a reply dated April 12, 1988,⁷ the Maritime Administrator asserted that MARAD's authority under section 41 of the 1916 Act to place conditions on section 9 charters is not limited to furthering the relevant purposes of the 1916 Act but broadly extends to other programs within MARAD's purview, including the maintenance of a U.S.-citizen-owned merchant fleet under the Merchant Marine Act of 1936 ("1936 Act"), 46 U.S.C. app. § 1101 et seq. He stated:

The maintenance and development of the American merchant marine has always figured prominently in assessing Section 9 applications and there can be no debate that U.S. Government-impelled cargo, reserved by statute to U.S. carriers, helps to support the U.S. merchant marine, and therefore the national security and the national economic welfare.

* * *

. . .[T]he condition limiting to Sea-Land the carriage of restricted preference cargoes is necessary, given MARAD's mandate under the 1936 Act and our authority (indeed, obligation) under sections 9 and 41 of the 1916 Act. It is our conviction that the benefits of cargo reservation should not accrue to non-citizens, even those utilizing space on U.S.-flag vessels, since those benefits are intended to enhance the American merchant marine.

The Maritime Administrator further stated that...

. . .given MARAD's conclusion that the special authority granted

⁷ Id. at 106-109.

the parties under section 9 should not extend to the point of allowing Nedlloyd and [P&O] to do what they otherwise could not (carry reserved U.S. cargoes on the vessels), we did not assess the possible economic impact on Sea-Land if Nedlloyd and [P&O] were free to compete for such cargoes.

The Commission determined not to institute its own investigation of Article 5(i) of Agreement 11171. The carriers were so informed in a letter from the FMC Secretary. However, the Commission made no findings on the lawfulness of Article 5(i) under section 10(c)(6), and thus left MSC free to file a complaint.

B. Agreement 11217

On October 24, 1988, Agreement No. 232-011217 ("Agreement 11217") was filed with the Commission. This permitted P&O, Nedlloyd and Sea-Land to charter space aboard the VSA vessels to Compania Trasatlantica Espanola, S.A. ("CTE"). Agreement 11217 also permitted the four carrier parties to agree upon sailing schedules, service frequencies and ports to be served in the U.S. Atlantic Coast/Mediterranean trade. The Agreement further committed CTE to withdraw two container vessels from service in that trade and provided that CTE could not charter space from other carriers, except in specified circumstances, or subcharter the space reserved for its use on the VSA vessels.

MSC filed a protest against Agreement 11217, because Article 5.4(a) of the Agreement precluded CTE from carrying cargoes subject to U.S. cargo preference laws on the VSA vessels.⁸ While Article 5.5 permitted CTE to utilize any other U.S. -flag vessel to bid for

⁸ Farrell Lines, the other protestant against Agreement 11171, filed no objections to Agreement 11217 and did not participate in the subsequent legal challenges to the two Agreements.

preference cargo, Article 5.9(a) prohibited CTE from carrying ordinary commercial containerized cargo on such a vessel, "[u]nless otherwise agreed." MARAD amended the original charter orders to permit charters to CTE, but otherwise directed that the preference cargo restrictions in the original charter orders should remain in effect.

Thus, the effect of these restrictions was not substantially different from those in Agreement 11171, except that Article 5.4(a) of Agreement 11217 was linked directly to MARAD's policies. The provision recited that the cargo preference constraint on space chartered to CTE was the result of "a restriction established by the Maritime Administration of the Department of Transportation, that [space chartered to CTE] may not be utilized for the carriage of cargoes reserved to U.S.-flag vessels pursuant to cargo preference laws of the United States...."

MSC's protest against Agreement 11217 asserted that MARAD lacked authority for its actions and that, even if such authority exists, it had been exercised arbitrarily and improperly in the cases of the preference cargo provisions of Agreements 11171 and 11217 and should not be held by the Commission to insulate the provisions from the 1984 Act. MSC's arguments raised such matters as whether any findings were made by MARAD that it was actually necessary to protect Sea-Land from potential competition for military preference cargo in order to further MARAD's programs, whether similar restrictions have been applied consistently to other charters of space aboard U.S.-flag ships to foreign-flag

operators' and, ultimately, whether MARAD's authority under the 1916 Act to impose conditions on charters of U.S.-flag vessels can be used to advance the purposes of other statutes such as the 1936 Act.

The Commission determined, as it did previously with respect to Agreement 11171, that there was no basis to seek a section 6(g) injunction against implementation of Agreement 11217. Accordingly, the Agreement went into effect on December 8, 1988.

In a letter dated December 20, 1988, from the FMC Secretary to MSC's Counsel,¹⁰ the Commission stated that it had no authority to investigate whether MARAD'S charter orders as they related to Article 5(i) of Agreement 11171 and Article 5.4(a) of Agreement 11217 exceeded MARAD's statutory authority. The Commission pointed out that, as an Executive branch agency challenging the lawfulness of an action by another Executive agency, MSC could seek the opinion of the U.S. Attorney General. The Commission noted again that, because it had rendered no judgments under the 1984 Act regarding the Agreements, "the right of any person to file a complaint at any time against the Agreements remains intact."

⁹ In June 1992, MARAD issued new regulations that dispensed with individualized approvals of the types of charters at issue in this case. See 46 C.F.R. § 221.13(a)(1) (except as limited by provisions not relevant here, MARAD "hereby grants the approval required by [section 9(c) of the 1916 Act] for the...Charter...to a Noncitizen of an interest in or control of a Documented Vessel owned by a Citizen of the United States....") There is no indication, however, that MARAD no longer endorses the preference cargo conditions it placed on Sea-Land's charters to P&O, Nedlloyd and CTE.

¹⁰ Resp. Exhibit 1 at 124-28.

Agreement 11217 has been essentially inoperative since May 6, 1994, when an amendment to the Agreement became effective that released the VSA carriers from any obligation to charter vessel space to CTE, released CTE from any obligation to charter space on VSA vessels, and bound CTE to stay out of the U.S. Atlantic Coast/Mediterranean trade through the end of 1997. While CTE is still technically a respondent in this proceeding and Agreement 11217 is still a subject of MSC's complaint," the ALJ's Initial Decision and the pleadings on exceptions focus entirely on Article 5(i) of Agreement 11171.

C. Early Proceedings in Docket No. 90-08

In February 1990, MSC filed its complaint in this proceeding against the respondent carriers. It also filed a petition with MARAD seeking reconsideration of the conditional charter orders, which MARAD denied in an order served May 11, 1990. 25 S.R.R. 931. On May 28, 1990, the FMC administrative law judge then presiding over Docket No. 90-08 issued an order stating that he had been informed of MARAD's denial of MSC's petition. He directed MSC to inform him whether it intended to take further action with regard to its petition. On June 19, 1990, the ALJ issued a further order stating that MSC had represented that it had forwarded "a recommendation to proper higher authority for further action on the MarAd denial." "Procedural Order I" 25 S.R.R. 1004. Pending

¹¹ CTE asked to be dismissed as a respondent in 1994 after Agreement 11217 became inoperative, but was refused by the ALJ. "Motion to Dismiss Compania Trasatlantica Espanola as a Party Denied," 26 S.R.R. 1513 (1994), reconsideration denied, 27 S.R.R. 30 (1995).

further developments, he placed Docket No. 90-08 in abeyance. MSC later clarified that it had submitted a recommendation that the Defense Department request an opinion from the Attorney General as to whether MARAD was empowered by the 1916 Act to place the conditions in controversy on Sea-Land's charter orders. MSC's efforts bore fruit when, on October 19, 1993, the Attorney General's Office of Legal Counsel issued a memorandum ("OLC Opinion") concluding that MARAD lacked legal authority to impose the preference cargo restriction on Sea-Land's charter orders. 26 S.R.R. 1153.¹²

D. Sea-Land's Appeal

In the wake of the OLC Opinion, MARAD issued a number of orders that would have removed the cargo preference restriction from Sea-Land's charter orders. However, Sea-Land immediately sought review of the MARAD removal orders -- and, indirectly, the OLC Opinion -- by the U.S. Court of Appeals for the District of Columbia Circuit. Sea-Land Service, Inc. v. Pena, D.C. Cir. No. 93-1846.

At Sea-Land's request, briefing and oral argument were conducted on an expedited schedule. However, on July 18, 1994, the D.C. Circuit sua sponte issued an order staying the appeal pending a decision by the Commission in FMC Docket 90-08 on whether Article

¹² In the meantime, the Commission had denied a petition by MSC to overturn MARAD's charter orders under section 19 of the Merchant Marine Act of 1920. Petition No. Pl-90, In the Matter of Maritime Administration, Department of Transportation, Rules Affecting Foreign Commerce of the United States, F.M.C. __, 25 S.R.R. 1632 (1991), reconsideration denied, __ F.M.C. __, 26 S.R.R. 217 (1992).

5(i) in Agreement 11171 violates section 10(c)(6). The court's order required the resumption of proceedings before the AU in Docket No. 90-08. In the meantime, MARAD stayed its orders lifting the preference cargo restriction until completion of the D.C. Circuit appeal. Thus, the conditional charter orders reserving MSC's cargo to Sea-Land remain in place.

E. Further Proceedings in Docket No. 90-08

The AU promptly convened MSC and the carriers to discuss how further proceedings in Docket No. 90-08 should be structured. APL was permitted to intervene without objection,¹³ and all parties agreed that evidentiary hearings were unnecessary. Accordingly, cross-motions for summary judgment were filed on October 26, 1994, with replies filed on December 2, 1994. After denying a request by

¹³ In its motion papers, APL stated that it has entered into space-chartering agreements with foreign-flag lines operating in the Pacific trades, and that MARAD has included in the relevant charter orders an express condition that prohibits APL from allowing the foreign lines to use space on APL's vessels for the carriage of U.S.-government preference cargo.

However, in APL's case, MARAD's actions were taken under section 804 of the 1936 Act and certain provisions of APL's operating-differential subsidy contract, rather than under section 9 of the 1916 Act. This difference arose from the fact that Sea-Land did not have a subsidy contract with MARAD. According to the ALJ's February 1995 Order, MSC has agreed that the status under the 1936 Act of the restrictive condition in APL's charter orders was not raised before the Office of Legal Counsel, is therefore not part of the appeal before the D.C. Circuit, and is not before the Commission in this proceeding, "even if such condition is essentially identical in terms to the one issued to Sea-Land and considered by the OLC." 27 S.R.R. at 101, 120. Nevertheless, as discussed in the text below, APL is concerned that the Initial Decision, if upheld by the Commission, could significantly damage its interests.

Sea-Land, P&O and Nedlloyd for oral argument, the AU served his February 1995 and June 1995 Orders.

THE ISSUES BEFORE THE COMMISSION

For the reasons set forth below, the Commission has concluded that the preference cargo restriction in Agreement 11-171 (and the substantially identical restriction in Agreement 11217) is a shipper allocation falling within the "prohibition clause" of section 10(c)(6). We therefore affirm the ALJ's February 1995 Order. However, we also conclude that this allocation is "required by the law of the United States," specifically, by the restrictive charter orders issued by MARAD, and is therefore not unlawful under section 10(c)(6). This means that the ALJ's June 1995 Order must be reversed and that MSC's complaint in this proceeding must be dismissed.

The Commission emphasizes that both our conclusion on the "law of the United States" issue and the ultimate result in this case depend entirely on whether MARAD acted lawfully in placing the preference cargo restriction on the charter orders it issued to Sea-Land. That issue is joined before the D.C. Circuit in Sea-Land Service, Inc. v. Pena. Given these unusual circumstances, this proceeding is being discontinued without prejudice to being reopened upon motion by MSC to reinstate its complaint, should the government prevail in Sea-Land Service, Inc. v. Pena. The Commission has followed this course in previous cases where the appropriateness of Shipping Act relief may be determined by

litigation in some other forum.¹⁴

A. The Prohibition Clause Issue

If section 10(c)(6) said only that it is unlawful for any conference or two or more common carriers to...

...allocate shippers among specific carriers that are parties to the agreement or prohibit a carrier that is a party to the agreement from soliciting cargo from a particular shipper...

...would Sea-Land, P&O and Nedlloyd be in violation of the law for implementing the restrictions of Agreement 11171?

(1) The ALJ's February 1995 Order

The ALJ held that Article 5(i) violates "the plain language" of section 10(b)(6)'s prohibition clause. 27 S.R.R. at 112. He noted that, under familiar principles of statutory construction, the starting point for interpreting a statute is the language of the statute itself, and that where the statutory language is plain and unambiguous, it must be followed except in the rare case where a literal application of the law would produce an absurd result clearly at odds with the intent of Congress. He reviewed the legislative history of the 1984 Act and concluded that it provides no substantial guidance regarding the intended scope of section 10(c)(6).

The ALJ characterized the carriers' argument¹⁵ that Article 5(i) is a reasonable ancillary restraint arising from an otherwise legitimate business transaction as tantamount to reading a

¹⁴ See, e.g., A/S Ivarans Rederi v. Companhia de Navesacao Lloyd Brasileiro, 25 S.R.R. 1061 (1990).

¹⁵ "Carriers" here means intervenor APL as well as the three respondents.

"reasonableness" standard into section 10(c)(6). He rejected this approach, emphasizing that, in contrast to many of the other prohibitions set forth in section 10 of the 1984 Act, section 10(c)(6) does not contain qualifiers such as "unreasonably," "unfairly," or "unjustly." His holding on this point essentially was that the Commission must assume that this omission was deliberate on the part of Congress, especially in the absence of any contraindications in the legislative history. The AU turned aside the argument advanced by the carriers that no finding could be made against Article 5(i) without a further inquiry into the nature and availability of bidders for MSC cargo in the affected trades, changes in supply and demand and rates since 1988, and the actual effect of the Article 5(i) restriction on MSC:

Agreement 11171 has been in effect since 1988, its terms are not in dispute, and it has been the subject of much inquiry. There is no question but that all preference cargo on the Sea-Land vessels chartered to [P&O] and Nedlloyd moves for the account of Sea-Land. Here, the allocation of MSC to Sea-Land and the prohibition against the foreign-flag carriers is clear. In the circumstances..., no need has been shown to require further information....

27 S.R.R. at 116.

The ALJ was unimpressed by the fact, stressed by the carriers, that P&O and Nedlloyd are free under Article 5(h) of the Agreement to transport U.S. preference cargo on any other U.S.-flag vessels they may obtain or charter. In his view, this purported right is illusory and impractical, because Article 5(h) also bars P&O and Nedlloyd from carrying ordinary commercial cargo on such vessels unless they first obtain Sea-Land's assent. The AU also rejected the contention that Article 5(i) only maintains the status quo of

P&O and Nedlloyd being ineligible to carry U.S. preference cargo.

He said:

However, there is an essential difference. Prior to entering the Agreement [P&O] and Nedlloyd, who operated the same type of service in the same trade as Sea-Land, could have reflagged vessels under the U.S.-flag or time-chartered U.S.-flag vessels and they would have been eligible to solicit, compete for and transport preference cargo in competition with Sea-Land. But, once [P&O] and Nedlloyd entered into the Agreement that right disappeared.

27 S.R.R. at 115. "Moreover," he added, "maintenance of the status quo even if established is not shown to cure the violation." Id.

(2) Respondents' Exceptions

Sea-Land, P&O and Nedlloyd begin their Exceptions by describing in detail the background of Sea-Land's acquisition of the Econships and the formation of Agreement 11171. This recitation mixes facts, which are supported by historical documents and are not challenged by MSC, with argument that seeks to explain the motives of the three carriers for their actions.

Respondents state that at the time of United States Lines's bankruptcy, the Econships constituted twenty-three percent of the U.S.-flag commercial fleet capacity to carry containers, and that MARAD took an active role in the bankruptcy proceedings, urging that the sale of the vessels be limited to American buyers because the vessels were essential for U.S. military and economic security. They further state that the Econships offered certain advantages for Sea-Land. The large capacity of the vessels provided opportunities for reduction in unit costs, and the Econships were newer and more efficient than some of Sea-Land's vessels. In addition, if Sea-Land acquired the Econships, it could redeploy

some of its transatlantic vessels into other trades and retire other vessels that were becoming economically obsolete.

However, respondents state that acquisition of the Econships posed both economic and legal risks for Sea-Land. Sea-Land was concerned that placing such large vessels back into service would be economically risky unless it could reduce its exposure by chartering some space on the vessels to other carriers. Sea-Land concluded that P&O and Nedlloyd were the carriers most likely to have an interest in chartering space on the Econships because at the time they were using higher-cost vessels to provide transatlantic service (respondents note that all of the vessels being operated by P&O and Nedlloyd at that time were foreign-flag vessels and hence were not eligible to carry U.S.-government preference cargo). "Thus," respondents state, "as it considered internally whether to make an offer for the vessels, Sea-Land simultaneously commenced negotiations with [P&O] and Nedlloyd." Respondents' Exceptions at 20.

With regard to the legal risks perceived by Sea-Land, respondents emphasize that MARAD had publicly taken the position in the United States Lines bankruptcy proceedings that the Econships were vital to the U.S. fleet, and that MARAD was also concerned about the financial impact upon U.S.-flag carriers if foreign carriers obtained access to the vessels. They further assert that they believed that MARAD would not approve charter agreements that permitted P&O and Nedlloyd to utilize space on Sea-Land's vessels to transport government preference cargo "since that would expose

U.S.-flag carriers to additional competition for such cargo that had not existed before and would not exist but for the charter agreements." Respondents' Exceptions at 22. They state that "MARAD clearly understood the potential impact upon U.S. carriers if the Econships were utilized by foreign carriers to bid for government preference cargo," id. at 22 n.8. Respondents state that Sea-Land, P&O and Nedlloyd included the preference cargo restriction in Agreement 11171 in order to "minimize the possibility of disapproval by MARAD...." Id. at 21.

Respondents proceed to state that Sea-Land spent almost \$80 million to reactivate and refurbish the Econships. When the vessels re-entered service during the summer and fall of 1988, with Agreement 11171 in effect, the foreign-flag capacity previously deployed by P&O and Nedlloyd was replaced by U.S.-flag capacity and Sea-Land was able to transfer three other vessels from the Atlantic to the Pacific and to retire certain less efficient tonnage. "Thus," respondents submit, "there was a net increase in and upgrading of U.S.-flag capacity in both the transatlantic and transpacific trades." Respondents' Exceptions at 24.

Against that backdrop, respondents argue that Article 5(i) of Agreement 11171 does not violate the prohibition clause of section 10(c)(6). They continue to assert that, because Nedlloyd and P&O are permitted to acquire or charter other U.S.-flag vessels for use in the trade, there is no allocation of MSC to Sea-Land. Respondents contend that the ALJ wrongly ignored the circumstances of Sea-Land's acquisition of the Econships and instead applied

section 10(c)(6) as a per se prohibition. They argue that a per se application of section 10(c)(6) should be limited to "naked" market allocation agreements, that is to say, agreements that do nothing but restrain competition by dividing markets among producers of goods or services. However, they submit that Article 5(i) is not a naked restraint of trade but is "ancillary" to the broader business relationship between Sea-Land and its two partners; in this regard, they emphasize that "[t]he return of the Econships to the active U.S. fleet was indisputably in the public interest and procompetitive, and the ability of Sea-Land to charter space on those vessels to P&O and Nedlloyd was an integral part of Sea-Land's decision to take the economic risk associated with purchase of the Econships." Respondents' Exceptions at 66.

Respondents further assert that, under both the 1916 Act and the 1984 Act, the Commission has taken commercial and economic factors into account in considering these kinds of issues, and has not applied any kind of per se rule. They argue that the ALJ's treatment of certain precedents they brought to his attention was erroneous and arbitrary. They conclude:

Evidence in the record submitted by respondents demonstrates that the overall effect of [Agreement 11171] was procompetitive and that Article 5(i) was a reasonable ancillary restraint that facilitated the transaction. This evidence was unrebutted by the MSC. Therefore, respondents submit that the restriction in Article 5(i) does not constitute a prohibited allocation....

Respondents' Exceptions at 72.

(3) APL's Exceptions

APL states that, despite the different circumstances

surrounding its space-chartering agreements with foreign-flag carriers in the Pacific trades and the different statutory basis for MARAD's preference cargo restriction issued in connection with those agreements," its interests nonetheless have been jeopardized by the ALJ's Initial Decision in this proceeding. It asserts that if the I.D. is upheld, its own space-chartering agreements will inevitably be attacked under section 10(c)(6).

A primary theme of APL's arguments on the prohibition clause issue is that the ALJ's interpretation would discourage cross-chartering agreements between U.S. -flag and foreign-flag carriers, "which have become common and which generally benefit U.S. trade and the remaining U.S. merchant marine." "Exceptions of Intervenor American President Lines, Ltd., to Initial Decision and Brief in Support of Exceptions," June 30, 1995 ("APL Exceptions"), at 37; see also id. at 43. Thus, in denying that its position depends on reading the word "unreasonably" into section 10(c)(6), APL argues that, while the provision plainly bars "naked" agreements to allocate shippers or to prohibit the solicitation of shippers, it is in fact unreasonable to "stretch" section 10(c)(6) to apply to a provision like Article 5(i) of Agreement 11171. Id. at 39. A related theme is that section 10(c)(6) was meant to apply primarily to conferences, where "naked" allocation agreements apparently are most likely to be found. Id.; see also id. at 43-45. "But," APL states...,

. . . a vessel- or space-chartering agreement is a different

¹⁶ N.13, suara.

type of agreement that is beneficial to U.S. trade because it allows the efficient integration of carrier capacities, and a single provision of such an agreement that limits the rights being transferred is torn out of context when it is treated as a stand-alone "allocation" or "prohibition."

Id. at 39.

Like the respondents, APL argues that a provision like Article 5(i) of Agreement 11171 does not "prohibit" or "allocate" if the foreign carriers are free to make use of other U.S.-flag vessel space to carry U.S. preference cargo and if the foreign carriers did not start from a position of being able to use the space in question for preference cargo. It also contends that section 10(c) was meant to proscribe only those types of agreements that the Commission had considered "unapprovable" under former section 15 of the 1916 Act. APL Exceptions at 46. Under that standard, APL continues, restrictions analogous to Article 5(i) were not treated as per se contrary to the public interest, but instead were held approvable if properly justified. It argues that, in enacting section 10(c)(6), Congress intended that the FMC would interpret the new statute "in a way that reflected the concerns that led to the Shipping Act of 1984 -- most specifically, the nature of the shipping industry, and the types of agreements in that industry that have proved beneficial to the public interest." Id. at 53. In this connection, APL asserts that the ALJ should have looked at the "entire context" of Agreement 11171 in considering the lawfulness of Article 5(i). Id. at 40. This is apparently a reference to the respondents' portrayal of the "economic and political risks" faced by Sea-Land in deciding to acquire the

Econships; APL also states that its Exceptions incorporate by reference Respondents' Exceptions. Id. at 3.

(4) MSC's Reply

MSC adopts and defends the ALJ's construction and application of section 10(c)(6). Its reading of the statute's legislative history is that Congress intended to balance the new freedom granted carriers to enter into and implement rate and service agreements with prohibitions of certain kinds of concerted conduct whose detrimental aspects would outweigh any efficiencies they might generate. These prohibited acts, MSC asserts, include not only agreements that the Commission had disapproved under the 1916 Act, but also others that were "raised" to Congress during the legislative process "by various sectors of Government and the shipper community." "Reply of Military Sealift Command to Exceptions of Respondents and Intervenor," July 24, 1995 ("MSC Reply"), at 9. MSC continues:

The intent of Congress could not be more manifest. There is no doubt that Congress intended to outlaw, among others, the particular conduct specified in section 10(c)(6) which it feared would result from the broad antitrust immunity conferred by...the 1984 Act....

Id. at 11. Thus, MSC opposes any consideration by the Commission of the "reasonableness" arguments advanced by the carriers, which it terms irrelevant and unsupported. It submits that "a full evidentiary hearing" would be required before the Commission could properly consider the respondents' representations regarding "economic and political risks." Id. at 7 n.5. More conventional antitrust-style measurements of reasonableness, such as economic

efficiency, are not present here, according to MSC:

The restraint contained in the Agreement is not designed to make the agreement more commercially efficient. It has no rational nexus to efficiency at all. It is strictly designed to circumscribe competition for preference cargo in what is already a restricted competitive environment.

Id. at 16.

MSC further contends that the foreign-flag lines' freedom under Agreement 11171 to carry preference cargo in other U.S.-flag vessels is illusory, given that the introduction of such vessels into the Agreement trade could only occur with Sea-Land's acquiescence, and, in any event, is "immaterial....Under the plain language of the statute, this [freedom] does not excuse a violation when the terms of the Agreement itself specifically prevent the foreign carriers parties [sic] to the Agreement from utilizing the space in Sea-Land's vessels to carry such cargo." MSC Reply at 12.

(5) Discussion

(a) Whether there is an "allocation"

As noted, the carriers contend that MSC has not been allocated to Sea-Land because the foreign-flag lines remain free to transport U.S. preference cargo in the trade on any other U.S.-flag vessels they charter or otherwise obtain. However, the ALJ was correct in characterizing this right as illusory, given that Nedlloyd and P&O are barred from carrying ordinary commercial cargo on such vessels unless they obtain Sea-Land's agreement that they may do so. It is difficult to imagine circumstances in which Sea-Land would have a motive to give such permission; it would certainly defeat the fundamental purpose of the vessel-sharing undertaking by the

carriers, which is to control over-capacity in the trade. It is even more difficult to imagine Sea-Land making such permission irrevocable, which Nedlloyd and P&O would probably require before they could commit to purchasing or chartering a U.S.-flag vessel. In short, MSC has indeed been allocated to one carrier, which has both the power and a strong economic incentive to block any attempt by its partners to circumvent the allocation.

The carriers' secondary argument that Article 5(i) is lawful because it preserves the status quo ante is superficially appealing, but fallacious. Before Agreement 11171 was negotiated and executed, Nedlloyd and P&O were ineligible to compete with Sea-Land for MSC's cargo. No issue under section 10(c)(6) could have arisen, because the "allocation" then was by operation of the U.S. cargo preference laws, not by any understanding among the carriers. It was only after the Agreement was in place, including Article 5(i), that the allocation by the carriers of MSC to Sea-Land commenced and the issue of its lawfulness under section 10(c)(6) came alive. In other words, the inception of Agreement 11171 not only created the possibility that Nedlloyd and P&O could compete with Sea-Land for MSC's cargo, it also created the possibility that the Agreement provision blocking such competition might be unlawful under the Shipping Act. Arguments based on the circumstances existing before the Agreement are thus fundamentally irrelevant.

(b) Whether (and how) the allocation's "reasonableness" should be considered

Since we have found that MSC has been allocated to Sea-Land, the issue then becomes whether a proper application of the

prohibition clause of section 10(c)(6) permits consideration of the allocation's "reasonableness," and, if so, what evidence of "reasonableness" exists on this record.

1. The language of the statute

The ALJ correctly held that the starting point is the actual language of section 10(c)(6). This principle has been stated many times by the Supreme Court. "[F]irst, always, is the question whether Congress has directly spoken to the precise question at issue. If the intent of Congress is clear, that is the end of the matter; for...the agency...must give effect to the unambiguously expressed intent of Congress." Chevron U.S.A. Inc. v. Natural Resources Defense Council, Inc., 467 U.S. 837, 842-43 (1984). "The plain meaning of legislation should be conclusive, except in the 'rare cases [in which] the literal application of a statute will produce a result demonstrably at odds with the intentions of its drafters.'" United States v. Ron Pair Enterprises, Inc., 489 U.S. 235, 242 (1989), quoting Griffin v. Oceanic Contractors, Inc., 458 U.S. 564, 571 (1982).

The 1984 Act draws distinctions in how it describes the actions it prohibits. Some are forbidden in relative, not absolute, terms. To take some examples, not all preferences are illegal under section 10(b)(11), only "undue or unreasonable" preferences. Not all rate differentials between shippers or ports are illegal under section 10(b)(10), only differentials that are "unjustly discriminatory." A common carrier that enters into a service contract with an unbonded NVOCC violates section 10(b)(15)

only if it did so "knowingly and willfully."

Other prohibitions in the 1984 Act do not contain such qualifying phrases. They require the Commission only to find that the act occurred in order to establish a violation of law. No defense that the act was "reasonable" or "fair" can be raised. For example, under the "filed rate" doctrine,¹⁷ this is the established method of interpreting and enforcing the tariff adherence sections of the Act, sections 10(b)(1)-(3). If an ocean carrier deviates from its tariffed rates, it has violated the Act. Issues of willfulness and degree of deviation may be relevant to the proper penalty, but not to the violation itself.

This distinction in statutory language is present in section 10(c). Restrictions on freight forwarder compensation by two or more carriers are illegal under section 10(c)(5) only if the compensation is limited to "less than a reasonable amount." Section 10(c)(2) outlaws conduct that "unreasonably" restricts the use of intermodal services or technological innovations, and section 10(c)(1) bars "unreasonable" refusals to deal. On the other hand, negotiations by two or more ocean carriers with rail, truck or air carriers regarding inland rates or services are flatly prohibited by section 10(c)(4), without regard to "reasonableness" or "fairness." Similarly, the prohibition clause of section 10(c)(6) contains no qualifying words of any kind. It states simply that a group of carriers may not allocate shippers among

¹⁷ See Maislin Industries, U.S., Inc. v. Primary Steel, Inc., 497 U.S. 116 (1990).

themselves, and may not prohibit one of their members from soliciting cargo from a particular shipper.

The ALJ concluded that the contrast between the repeated use of qualifying words such as "reasonable" in many provisions of the 1984 Act and their absence from section 10(c)(6) must be read as an deliberate decision by Congress to absolutely forbid all shipper allocations, save only those that fall within the "law of the United States" clause. This is an established and widely followed method of statutory construction. "[W]here Congress includes particular language in one section of a statute but omits it in another section of the same statute, it is generally presumed that Congress acts intentionally and purposely in the disparate inclusion or exclusion." Russello v. United States, 464 U.S. 16, 23 (1983), quoting United States v. Wong Kim Bo, 472 F.2d 720, 722 (5th Cir. 1972). However, this presumption can be overcome by a strong indication of contrary legislative intent or policy. As recited above, many of the arguments advanced by the respondents and APL are aimed at persuading the Commission that, despite its austere language, the prohibition clause of section 10(c)(6) allows consideration of commercial circumstances and other evidence of an allocation's "reasonableness." This approach, they submit, is actually more consistent with the history and purpose of the statute than the strict constructionist method applied by the ALJ and advocated now by MSC.

2. The legislative history and purpose of the statute

Section 10(c)(6) first appeared in a bill that was passed by

the House of Representatives in September 1982, but went no further.'* The committee report stated only that the provision was meant to prevent "market allocation agreements by conferences or two or more carriers...." H.R. Rep. No. 611 (Part 2), 97th Cong., 2d Sess. 35 (1982). In the next Congress, the Senate bill (S. 47) in its original form did not contain an equivalent provision. In a letter to the Senate committee, the Chemical Manufacturers Association ("CMA") urged the adoption of a provision that was essentially the same as the provision in the 1982 House bill and that was essentially the same as section 10(c)(6) as ultimately enacted. CMA argued:

A conference should be prohibited from allocating a shipper to a specific carrier, and from restricting a carrier from soliciting cargo from a shipper. These prohibited acts insure that the shipper will be able to use the service alternatives of all conference carriers....Moreover, a restriction on cargo solicitation might inhibit the ability of a conference carrier to take independent action.

Ocean Shipping Act of 1983: Hearing on S. 47 Before the Subcomm. on Merchant Marine of the Senate Comm. on Commerce, Science and Transportation, 98th Cong., 1st Sess. 125, 128 (1983). A similar argument was made by the National Industrial Transportation League, also in a letter. Id. at 124-25. The provision proposed by the CMA was included in the reported bills. The Senate report stated only that the provision was included because of shipper requests, S. Rep. No. 3, 98th Cong., 1st Sess. 11 (1983), and that it...

¹⁸ As reported by the House Committee on the Judiciary, section 10(d)(7) of H.R. 4374 was essentially identical to section 10(c)(6) as ultimately enacted, except for the order of the clauses. H.R. Rep. 611 (Part 2), 97th Cong., 2d Sess. 11 (July 30, 1982).

. . .prohibits carriers . . .to allocate shippers among themselves, or to prevent one another from soliciting cargo from any particular shipper. This prohibition will not be enforced when the allocation is the result of...the laws of the United States or the foreign nation in the U.S. trade.

Id. at 38. There was no discussion of section 10(c)(6) in the House-Senate conference report.¹⁹

Thus, there is nothing in the particular history of section 10(c)(6) that would license the Commission to consider evidence of commercial reasonableness in judging the lawfulness of a shipper allocation agreement. Consideration of the general purposes of the 1984 Act also supports this result. Congress intended to expedite and make more predictable the legal standards and procedures governing carrier rate and service agreements. This was accomplished by abolishing section 15 of the 1916 Act, under which the Commission had to approve agreements under a "public interest" test before they could go into effect. Instead, carriers are informed ahead of time by section 10 of the 1984 Act of the activities they may not agree on, and all other agreements -- described by Congress as "generally accepted joint conduct in ocean shipping"²⁰ -- may go into effect 45 days after filing in most instances. Unusual problems not covered by a specific provision in section 10 are to be addressed under section 6(g).²¹ The long list of prohibited activities in section 10 was meant to provide a

¹⁹ See H.R. Rep. No. 600, 98th Cong., 2d Sess. 40 (1984).

²⁰ Id. at 32.

²¹ See id. at 37: . . .[A] general standard has been retained to provide the necessary flexibility to deal with the unusual or severe cases not addressed by other prohibitions in the Act."

shipper-protection counterweight against the enlarged power of the carriers to agree on rates and services.²² It might well undermine that general purpose to apply a liberal interpretation, sympathetic to carrier interests, to a provision of section 10 that Congress wrote in strict terms.

The language of section 10(c)(6) also is enough to defeat APL's argument that the statute was meant to apply only to conferences. Section 10(c)(6) plainly applies to groups of two or more common carriers, as well as conferences. Whatever passing references there may be to conferences in the legislative history, there is no ground for a conclusion that the statute's broad and unambiguous coverage was a drafting mistake.

3. The "ancillary restraint" argument

The carriers also contend that section 10(c)(6) was meant to incorporate into the Shipping Act the treatment applied under the Sherman Antitrust Act to "market allocation agreements" that assign or divide customers, territories, supplies, sales or markets. The carriers state correctly that, when such agreements are "naked," that is, stand-alone restraints with no purpose other than to restrain competition, they are per se violations of section 1 of the Sherman Act, unlawful regardless of any possible business justification. The carriers are also right that where such restraints are tied to and support a larger endeavor that is designed to improve productivity and economic efficiency, they are judged instead under section 1's "Rule of Reason," which balances

²² S. Rep. No. 3, 98th Cong., 1st Sess. 11-13 (1983).

the impact on competition from the subsidiary restraint against the benefits from the larger arrangement. The carriers argue that the agreement provisions reserving U.S. -government preference cargo to Sea-Land fit the description of a restraint that would be a lawful "ancillary restraint" under the antitrust laws.

However, even if it is assumed that the antitrust treatment of market allocation agreements and ancillary restraints provides an appropriate model for interpreting and applying the prohibition clause of section 10(c)(6), Article 5(i) of Agreement 11171 fails to pass muster under those standards as well. The state of the law on ancillary restraints was summarized authoritatively in Rothery Storage & Van Co. v. Atlas Lines, Inc., 792 F.2d 210, 223-30 (D.C.Cir. 1986), cert. denied, 479 U.S. 1033 (1987) ("Rothery Storage"). "To be ancillary," the court stated, "and hence exempt from the per se rule,..."

. . .an agreement eliminating competition must be subordinate and collateral to a separate, legitimate transaction. The ancillary restraint is subordinate and collateral in the sense that it serves to make the same transaction more effective in accomplishing its purpose. Of course, the restraint imposed must be related to the efficiency sought to be achieved. If it is so broad that part of the restraint suppresses competition without creating efficiency, the restraint is, to that extent, not ancillary.

792 F.2d at 224.

The first problem is that the "larger arrangement" among Sea-Land and its partners is not "legitimate" in the sense meant by the Rothery Storage court. The antitrust cases are unanimous that, in keeping with the consumer welfare purpose of the Sherman Act, the "larger arrangement" between companies that otherwise might be

competitors must be one that promises larger output and lower prices. If so, then the secondary restraint is eligible to be judged under the Rule of Reason and has a strong chance of being upheld as "ancillary" and lawful.

Polk Bros., Inc. v. Forest City Enterprises, Inc., 776 F.2d 185 (7th Cir. 1985) ("Polk Bros.") provides a good example of this rule. Polk sold appliances and home furnishings. Forest City sold building materials, lumber, tools and related products. In 1972, Polk and Forest City agreed to build a store large enough for both of them near the town of Burbank, Illinois. The building was partitioned internally into roughly equal spaces. There were separate entrances, and a single parking lot that served both businesses. The stores opened in 1975.

The attraction of the arrangement was the complementary nature of the firms' products. The two stores together could offer a full line of goods for furnishing and maintaining a home. Both Polk and Forest City were concerned, however, "...that competition might replace cooperation." 776 F.2d at 187. They negotiated a covenant restricting the products each could sell. Forest City promised not to sell major appliances and furniture, with a few exceptions. Polk promised not to sell lawn mowers, building materials, lumber and related products, tools, paints, hardware, garden supplies, automotive supplies or plumbing supplies. The parties also agreed on a long list of things that both could sell. In 1978, Forest City bought the building from Polk (Polk took back a mortgage for its space), and the two companies agreed that the restrictions

would become covenants running with the land for fifty years.

Forest City's management changed in 1982. The new managers asked to be relieved of the restrictive covenant so that they could sell appliances, but Polk refused. Forest City then informed Polk that it considered the covenant to be invalid and began selling appliances. Litigation quickly followed. The trial court denied Polk's request for an injunction against Forest City's sale of appliances, holding that the restrictive covenant was a per se violation of Illinois antitrust law.

The Seventh Circuit Court of Appeals, however, reversed the trial court. Pointing out that Illinois antitrust law follows the federal courts on questions of interpretation, the court held that, under federal law, the covenant between Forest City and Polk should have been judged under a Rule of Reason analysis, not the per se rule. This was so because the larger agreement between Forest City and Polk was meant to "expand output," 776 F.2d at 189, by increasing retail selling capacity in the town of Burbank, and would provide a convenience to consumers by selling different but complementary products for the home in side-by-side stores. "This was productive cooperation," the court said. Id. at 190. It stated:

The reason for distinguishing between "ancillary" and "naked" restraints is to determine whether the agreement is part of a cooperative venture with prospects for increasing output. If it is, it should not be condemned per se....

Polk Bros. and Forest City were cooperating to produce, not curtail output: the cooperation increased the amount of retail space available and was at least potentially beneficial to consumers; the restrictive covenant made the cooperation possible. The Rule of Reason therefore applies.

Id. The court went on to hold that the covenant was lawful under the Rule of Reason because it did not confer dominant market power or even affect a substantial portion of any market.

The purpose of Agreement 11171 is precisely the opposite of increasing output. Concerned about overtonnaging that might result from Sea-Land's deployment of its newly acquired fleet of Econships, the carriers agreed to put a variety of controls -- vessel sharing, space chartering, service frequencies, port rotations, restrictions on the use of other vessels, and so on -- on their output of service in the trades covered by the Agreement. Such rationalization of service is normal and acceptable under the antitrust exemption policies of the Shipping Act, and we agree with the carriers that Agreement 11171 has conveyed a number of important benefits to the ocean transportation system of the United States. But since the status of a secondary restraint under antitrust law turns first on whether the "larger arrangement" among the parties to the restraint was intended to provide more choices and lower prices for consumers by increasing productivity and output of goods or services, we must conclude that Article 5(i) of Agreement 11171 fails that threshold test.

Even if that difficulty is set aside, Article 5(i) still could not be upheld as a ancillary restraint, because it is not aimed at supporting and facilitating the main purpose of Agreement 11171. The antitrust cases are adamant on this point. To be ancillary and lawful under the Rule of Reason, the secondary restraint must be intended to "make the main transaction more effective in

accomplishing its purpose." Rotherv Storage, 792 F.2d at 224. It "must be related to the efficiency sought to be achieved." Id. There must be an "organic connection between the restraint and the cooperative needs of the enterprise...." General Leaseways, Inc. v. National Truck Leasing Association, 744 F.2d 588, 595 (7th Cir. 1984). "A restraint is ancillary when it may contribute to the success of a cooperative venture that promises greater productivity and output." Polk Bros., 776 F.2d at 189. Here, the chances of success for a cooperative venture designed to rationalize service and control vessel-operating costs for all the partners to the venture are not improved by a special restraint that reserves one class of cargo to one of the partners. It is clear that, if the preference cargo restraint in Article 5(i) were actually being judged under the Sherman Act, it would be subject to condemnation under the Rotherv Storage formulation because it "suppresses competition without creating efficiency...." 792 F.2d at 224.

4. The FMC "precedents"

As they did before the AU, the carriers also assert that certain actions by the Commission constitute precedent and authority for evaluating the preference cargo restriction under a "reasonableness" standard.

In Agreement No. T-3938, Between the City of Los Angeles and American President Lines (unreported 1981) (attached as an appendix to Respondents' Exceptions), the City of Los Angeles granted APL rights to use a new container facility on a preferential basis for twenty years. As filed, the agreement provided that APL could not

"solicit and serve any customer which is a tenant or is regularly served by a tenant of the Board of Los Angeles" without the prior approval of the City. Initially, the Commission approved the agreement on condition that APL would be permitted any customer that "initiated a working arrangement" with APL. However, after reviewing additional affidavits submitted by the City in support of the restriction, the Commission dropped its condition, stating that the service restriction was justified and met the standards for approval. "Whatever the anticompetitive effects of this service restriction," the Commission said, "they are clearly outweighed by the Port's interest in protecting its investment of public funds and providing for the rational and efficient use of its facilities."

The action taken by the Commission in that instance was under a discarded statute, the flexible "public interest" standard of former section 15 of the 1916 Act, under which every agreement was examined under a Rule of Reason-type approach. Disapprovals could be issued only a case-by-case basis, because there was no statutory list of concerted carrier activities that were clearly out of bounds. It also should be noted that, if the same issue arose in connection with the same agreement today, it would be examined under the standards of section 10(d)(2), which bars terminal agreements that are "unreasonably" discriminatory, and not under the strictly worded standards of section 10(c)(6), which applies only to ocean carriers.

In Modifications of the Basic Agreement Between

Intercontinental Transport B.V. and Compagnie Generale Maritime,
___ F.M.C. ___, 22 S.R.R. 638 (1983) ("Intercontinental"), agreement
amendments were filed to change a joint service to a reciprocal
space chartering arrangement with coordinated vessel sailings. The
Commission had no difficulty approving the space chartering parts
of the new agreement, but said that the authority to coordinate
sailings "could be viewed as a division of markets, and, as such,
an activity which is violative of the antitrust laws." Id. at 643.
It held that the sailing provisions had not been adequately
justified by the agreement proponents and ordered them severed from
the agreement, without prejudice to the proponents' right to submit
an amendment "authorizing the coordination of sailings together
with appropriate justification." Id.

Claiming that Congress intended that "only types of agreements
that were unapprovable under § 15 of the 1916 Act were intended to
be proscribed by § 10(c)(6)" (APL Exceptions at 46)(footnote
omitted), the carriers assert that Intercontinental shows that the
Commission has viewed "market division" as an activity that can be
justified rather than unlawful ~~per se~~, however, this was a
1916 Act action by the Commission, and that Act did not condemn any
agreement as "unapprovable;" an agreement instead was disapproved
if its proponents could not bring forward enough evidence of the
agreement's benefits to outweigh the harm assumed to flow from the
agreement's restrictions on competition. Section 10(c)(6) was a
new prohibition added to the 1984 Act, as the legislative history
shows, at the behest of shipper groups and not to codify existing

Commission case law. Ordinary sailing agreements -- whether or not they amount to "market division" -- do not allocate shippers to specific carriers.

The only post-1984 Act instance involving application of section 10(c)(6) to a carrier agreement arose in connection with Agreement No. 203-011311 ("Agreement 11311") between Matson Navigation Company, Inc. ("Matson"), and Lykes Bros. Steamship Co., Inc. ("Lykes"), filed with the Commission in December 1990. To settle litigation before the Maritime Subsidy Board over Lykes's entitlement to an operating-differential subsidy for a proposed service to the Marshall Islands, Matson committed in Agreement 11311 to drop its lawsuit in return for Lykes's promise, also reflected in the Agreement, to carry only breakbulk cargo in the trade, with certain exceptions allowing limited amounts of containerized cargo. Matson was already providing an unsubsidized service to the Marshall Islands with a container barge that had limited breakbulk capacity.

The Commission took no action to prevent Agreement 11311 from going into effect. However, in an information demand order served on March 20, 1991, pursuant to section 15(a) of the 1984 Act, 46 U.S.C. app. § 1714(a), the Commission noted that the Agreement could be said to "allocate services in the Trade, with Matson providing predominately container service and Lykes providing predominately breakbulk service." 25 S.R.R. 1403. The Commission proceeded to state that "[w]hether the Agreement's restriction on the amount of containerized cargo that Lykes can carry in the Trade

is effectively an allocation of container shippers to Matson, possibly violating Section 10(c)(6).... could depend on the types and numbers of shippers in the Trade and the capacity available to serve such shippers." Id. Lykes and Matson were ordered to submit a series of reports on their container capacity and actual carryings in the Marshall Islands trade, both before and after the effective date of the Agreement.

Respondents and APL contend that the issuance of the section 15 order shows that the Commission does not regard section 10(c)(6) as absolutely barring all carrier agreements "that have some element of customer allocation" (Respondents' Exceptions at 70), but instead thinks it necessary to "assess the impact of the agreement in the relevant trade...." (APL Exceptions at 41). Obviously, the section 15 order was only a first-step investigative information demand, and does not constitute Commission precedent of any kind. The analysis and result we reach in this case might well have required us to re-examine Agreement 11311, and perhaps to require Matson and Lykes to show cause why the Agreement was not unlawful under section 10(c)(6). However, any issues raised by Agreement 11311 became moot when the Agreement was cancelled on September 6, 1996.

* * *

In sum, use of a "reasonableness" standard in deciding issues arising under the prohibition clause of section 10(c)(6) would be inconsistent with the language of the statute and has no support in the statute's legislative history, its purpose in the larger

context of the 1984 Act, or Commission precedents. We further conclude that the lawfulness of ancillary restraints under the Sherman Act does not provide a defense for the agreement provision under attack here, both because the "larger arrangement" -- Agreement 11171 -- is not intended to increase output and provide greater levels of consumer choice, and because the secondary restraint -- Article 5(i) -- is not designed to support and advance the actual main purpose of Agreement 11171, which is reduce carrier operating costs and rationalize service in the trades.

Given this result, the evidence of "reasonableness" advanced by the carriers is, strictly speaking, irrelevant. However, in the interest of a complete record, the evidence is discussed in the following section.

5. The state of the record

In its March 1994 brief before the D.C. Circuit in its appeal of the MARAD orders, Sea-Land provided an unvarnished explanation of the origin of the preference cargo restriction:²³

While Sea-Land was prepared to charter space on its vessels to TFL and Nedlloyd notwithstanding the competitive relationship between the carriers with respect to commercial cargo, it was not prepared to provide TFL and Nedlloyd with something that they did not have before, namely U.S.-flag capacity with which they might transport government preference cargo in the future.

The more elaborate explanation now offered by Sea-Land (jointly with its two partners) is far less credible and is unsupported by any objective evidence. As stated above, all

²³ Sea-Land Service, Inc. v. Pena, "Brief for Petitioner," March 14, 1994, at 48.

parties agreed before the ALJ that evidentiary hearings were not necessary, and so the record is limited to the cross-motions for summary judgment and their attachments.

The key claim that Article 5(i) was the result of perceived "political risk" -- that MARAD would not approve charter agreements that permitted P&O and Nedlloyd to utilize space on Sea-Land's vessels to transport government preference cargo -- is not backed up by documents dating from that period (such as internal carrier memoranda or correspondence between the carriers and MARAD) or even by present-day affidavits from persons who were involved in those transactions. The imposition by MARAD of the preference cargo restriction in its charter orders took place after the filing of Agreement 11171 and after MSC had protested Article 5(i).²⁴ In his subsequent letter of April 12, 1988, to the Commission, the Maritime Administrator gave no indication that MARAD had given a pre-filing warning to the carriers that the preference cargo restriction should be included in their FMC agreement.²⁵ There is also no information in this record on whether MARAD had imposed similar restrictions on previous charter arrangements between U.S.-flag vessels and foreign-flag lines.

In any event, it is not clear what the "political risk" argument is meant to accomplish. There is no evidence that, if the carriers had not included Article 5(i) in Agreement 11171, MARAD would have taken the extreme step of blocking the vessel-sharing

²⁴ N.3 and 4, sunra, and accompanying text.

²⁵ N.7, sunra, and accompanying text.

arrangement entirely. On the contrary, taking the Maritime Administrator's April 1988 letter at face value, it seems more likely that MARAD would simply have imposed the preference cargo restriction on its own. Given the solidarity among Sea-Land, Nedlloyd and P&O throughout the FMC proceedings, there is no reason to think that such a unilateral action by MARAD would have destroyed the vessel-sharing partnership by causing Nedlloyd and P&O to pull out.

B. The "Law of the United States" Issue

Having found that the preference cargo restriction in Agreement 11171 would violate the prohibition clause of section 10(c)(6), standing alone, the Commission must now consider whether the restriction is lawful nevertheless because it is "required by the law of the United States."

(1) The ALJ's June 1995 Order

The ALJ held that the preference cargo restriction is not "required by the law of the United States," and so is violative of section 10(c)(6). According to his analysis, "law of the United States" means only cargo preference statutes. "[N]either respondents nor [APL]," he emphasized, "have proffered a reference to any 'law' other than the cargo preference laws that would put restraints on carrier solicitation of cargo and, thus, would fall within the 'except' or 'law' clause in section 10(c)(6)...." 27 S.R.R. at 232. He stated that, since the cargo preference laws are "blind to the nationality of the charterer and insist only that the vessel carrying government cargo fly the flag of the United

States..., it cannot be found that cargo preference laws 'required' the insertion of Article 5(i) in the agreement that [P&O] and Nedlloyd not use the U.S. -flag vessels chartered from Sea-Land to transport government preference cargo." Id. at 231.

The AU agreed that, at least in some circumstances, an agency order or regulation has the same force of law as an organic federal statute. However, he held that MARAD's conditional charter orders do not create a "law of the United States" defense. Like the OLC Opinion, he would require "specific statutory authorization" for conduct that otherwise would be outlawed by the specific statutory prohibitions of section 10(c)(6). 27 S.R.R. at 232. He also cited a number of court decisions and treatises for the proposition that specific statutory provisions take precedence over more general policy prescriptions, and held that, to the extent that section 10(c)(6) conflicts with actions taken to advance the purpose of the 1936 Act to "foster the development and encourage the maintenance of [a U.S. -flag] merchant marine," 46 U.S.C. app. § 1101, section 10(c)(6) prevails. Thus, the ALJ concluded...,

. . .the specific language in section 10(c)(6) of the Shipping Act of 1984 which guarantees MSC the right to select TFL and Nedlloyd to transport government preference cargo in Sea-Land's U.S. -flag vessels and prohibits it from being allocated to Sea-Land prevails over any general national interest mandate in another statute....

27 S.R.R. at 233.

(2) Respondents' Exceptions

Sea-Land, P&O and Nedlloyd emphasize that, under sections 9 and 41 of the 1916 Act, violation of a MARAD charter order constitutes a criminal offense. They assert that, once MARAD

directed that no space on Sea-Land's Econships could be utilized for the transportation of U.S.-government preference cargo by a foreign-flag carrier, they were thereafter obligated to comply with MARAD's orders and were subject to sanctions if they did not.

Citing a law dictionary, respondents submit that the fact that a MARAD charter order is backed up by sanctions makes such an order a "law" in the general sense, and therefore part of the "law of the United States" in the section 10(c)(6) sense. "It matters not whether [MARAD] was required to impose the condition[,]" they say, "it matters only that respondents were required to comply with the condition once it was imposed." Respondents' Exceptions at 44.

According to respondents, the ALJ's conclusion that "law of the United States" means only cargo preference laws was unsupported, speculative and illogical. They assert that, if Congress had only cargo preference laws in mind, it would have limited the section 10(c)(6) exception to "cargo preference laws of the United States." In fact, respondents submit, "in most circumstances" the "law of the United States" clause of section 10(c)(6) is not necessary to give effect to the cargo preference laws. Respondents' Exceptions at 50. Their argument on this point is that the effect of the cargo preference laws is to restrict a shipper's right to use particular carriers and, "in most circumstances," a carrier is not required to do anything to comply with such laws since the shipper will not tender freight to it. If a shipper should tender preference cargo to an ineligible carrier, respondents argue that unilateral rejection of that cargo by the

carrier does not amount to an "allocation" of the cargo to eligible carriers, because section 10(c)(6) applies only to group carrier action.

Respondents argue that the "law of the United States" clause of section 10(c)(6) came about because Congress realized that it is necessary to accommodate other regulatory policies of the United States and its trading partners. Turning around the ALJ's criticism that they had failed to point to any U.S. statutes besides the cargo preference laws that restrict carrier solicitation of cargo, respondents say that the AU mistakenly ignored "the clearest examples of such a law...." Respondents' Exceptions at 51. These, say the respondents, are sections 9 and 41 of the 1916 Act -- the provisions used by MARAD to place the preference cargo restrictions on its charter orders -- and section 804 of the 1936 Act. In a footnote, respondents list without explication other statutes which they claim "operate analogously to cargo preference laws" and "restrict ocean shipping activities;" these include the Trading with the Enemy Act, the International Emergency Economic Powers Act, the Export Administration Act of 1979, and "various regulations thereunder." Id. at 52 n.19.

Respondents also argue that the ALJ erred in relying on the conflict-of-laws doctrine that specific provisions take precedence over general policies. They agree that such a rule may be a logical way to reconcile conflicts between statutes if Congress has not itself established a mechanism for resolving potentially conflicting mandates. However, respondents contend, such a general

rule of construction has no application when Congress has specifically considered the possibility of conflicts and has directed how they should be resolved. They argue that, in the case of section 10(c)(6), Congress has mandated that any conflicts between the prohibition clause and another "law of the United States" must be resolved in favor of that other law, and the prohibition clause must yield.

(3) APL's Exceptions

APL concedes that MARAD's charter orders went "beyond the requirements" of the cargo preference laws. APL Exceptions at 23. However, it argues that the cargo preference laws are merely two elements in a complex statutory scheme, administered by MARAD, aimed at promoting the U.S. merchant marine. A common feature of these statutes, says APL, is restraints on the solicitation of cargo; as an example, it cites the Jones Act, which reserves all cargo moved from one port of the United States to another to U.S.-flag vessels. APL argues that there is no rational basis for treating the cargo preference laws as unique for purposes of the "law of the United States" clause of section 10(c)(6), or for treating the MARAD orders differently from all the interrelated statutes that MARAD is responsible for administering. It says:

In short, from the standpoint of the carriers, the MarAd orders concerning the relevant agreements impose the same kind of requirements as do the [cargo preference laws]: restrictions on the cargo that the foreign parties to the vessel-sharing or space-chartering agreements may lawfully carry. There is no good reason to distinguish the requirements simply because they came from different sources.

Id. at 24. Like the respondents, APL contends that Congress has

already decided that conflicts between section 10(c)(6) and other "laws of the United States" should be resolved "in favor of the other statutes that themselves impose cargo restrictions or that authorize federal agencies to impose cargo restrictions." Id. at 29.

APL also argues that the ALJ's ruling creates the possibility of conflict with FMC actions under section 19 of the Merchant Marine Act, 1920, and the Foreign Shipping Practices Act of 1988 that prohibit foreign carriers from carrying cargo -- including preference cargo -- to or from the United States. It asserts that carriers could be forbidden from "accommodating" such restrictions in their agreements, APL Exceptions at 32, unless "law of the United States" has a broader meaning than the ALJ gave it. APL also interprets the ALJ's acknowledgment that section 10(c)(6) gives effect to foreign cargo preference laws as a sign that he would extend similarly favorable treatment to other foreign maritime promotional laws and decrees, even though he excluded such laws' U.S. cousins from the scope of "law of the United States."

(4) MSC's Reply

MSC argues that the ALJ's restriction of "law of the United States" to the cargo preference laws was logical and well-reasoned. It further asserts that, even if "law of the United States" does encompass other laws, the phrase clearly could not include "unfettered discretionary agency actions which have the effect of repeal" of the prohibition clause of section 10(c)(6). MSC Reply at 19. It contends that such actions by MARAD "must be rejected as

an overbroad use of its delegation." Id. at 20. MSC argues that MARAD's charter orders were therefore invalid from the start, and that this fact nullifies any defense by the carriers that they are compelled under threat of criminal sanctions to comply with the charter orders.

(5) Discussion

Under ordinary circumstances, the Commission's task in deciding issues arising under section 10(c)(6) is interpretive in nature. If a group of carriers accused of allocating a shipper to one of their number defended by claiming that they were required by to do so by a particular law of the United States (or of a foreign country), the Commission would consider the text and any relevant analyses of the proffered law, and render a conclusion as to whether the law commanded the actions that otherwise might fall within section 10(c)(6)'s prohibition clause.

Here, however, the Commission is being asked to do something entirely different. The issue before us does not concern matters of interpretation; there is no question that the "law" relied upon the carriers -- the MARAD charter orders -- requires the allocation that we have already found to fall within the prohibition clause. Rather, the issue is whether MARAD's action is a law.

MARAD, like the Commission, acts pursuant to delegated authority entrusted by Congress. An action by either agency has the force and effect of "law" only if it is within the scope of the agency's delegated authority, as defined and limited by the

statutes assigned to the agency. 5 U.S.C. § 706(2)(C). E.g., Farrell Lines, Inc. v. United States, 499 F.2d 587, 599-602 (Ct.Cl. 1974) (inclusion by MARAD, in computing operating-differential subsidy, of foreign shipowners' training payments in foreign "wages" cost, while excluding such expense from subsidy payments to U.S. operator, contravened system prescribed by Congress in 1936 Act); Austasia Intermodal Lines, Ltd. v. FMC, 580 F.2d 642 (D.C. Cir. 1978) (1916 Act did not give Commission authority to enforce tariff-filing requirements against carrier that did not call at a U.S. port). Thus, MARAD's charter orders are lawful and part of the "law of the United States" only if they were within the scope of the authority delegated by Congress to the Secretary of Transportation in sections 9 and 41 of the 1916 Act. See aenerally Chrysler Corn. v. Brown, 441 U.S. 281, 301-303 (1979).

MSC urges that MARAD's charter orders must be "rejected" by the Commission -- that is, found to be not part of the law of the United States -- because they are an "overbroad use" of the authority delegated to the Secretary of Transportation. The Commission first stated publicly in 1988 that it has no jurisdiction to decide that question.²⁶ That was correct then because the contending parties at the time -- MSC and MARAD -- were Executive branch agencies and the resolution of their dispute lay within the exclusive jurisdiction of the President, as the head of the Executive branch. Now that the dispute has been transmuted into one between a private party and the Secretary of

²⁶ N.10, supra, and accompanying text.

Transportation as a result of Sea-Land Service, Inc. v. Pena, our original statement remains correct because, under the clear and explicit language of the Administrative Orders Review Act, the circuit courts of appeals have exclusive jurisdiction over petitions by a private party to "...determine the validity of...all rules, regulations, or final orders of...the Secretary of Transportation issued pursuant to section...9...[or] 41...of the Shipping Act, 1916...." 28 U.S.C. § 2342(3)(A). The issue of the lawfulness of MARAD's charter orders is already in its proper forum, the D.C. Circuit. Conoco, Inc. v. Skinner, 970 F.2d 1206, 1213-16 (3d Cir. 1992).

It is a fundamental principle that an order by an administrative agency is presumed to be valid until such time as it is overturned by a court of competent jurisdiction. See, e.g., Citizens to Preserve Overton Park, Inc. v. Volpe, 401 U.S. 402, 415-16 (1971); Motor Vehicle Manufacturers Association of the United States, Inc. v. Ruckelshaus, 719 F.2d 1159, 1164 (D.C. Cir. 1983). From 1988 to the present, the MARAD charter orders have remained undisturbed by any circuit court. The Commission must therefore presume them to be valid. It is also a basic principle that, if the order in question is compulsory and has not been stayed or enjoined pending review on the merits by either the issuing agency or the reviewing court, failure to comply with its terms can subject the respondent to the specified penalties. For example, i n P a c i f i c , 3 3 2 F.2d 49 (9th Cir. 1964), a conference that refused to comply with an

information demand issued by the Commission under former section 21 of the 1916 Act, and that continued to refuse while the case was before the appeals court even after a temporary stay had expired, was subjected to penalties of \$100 per day. The MARAD orders are compulsory in nature, and carry criminal penalties for noncompliance. They remain in effect, since MARAD stayed its removal of the preference cargo restriction pending the outcome of Sea-Land Service, Inc. v. Pena.

In sum, the Commission has no power to decide that MARAD's orders were "an overbroad use" of delegated authority; that finding can be rendered only by a circuit court of appeals. To date, no circuit court has done so. The MARAD orders are thus presumed to be valid, they remain in effect, and the carriers remain under a legal obligation to obey them. The inevitable conclusion is that the MARAD charter orders are part of the "law of the United States" and "require" the conduct that otherwise would fall within section 10(c)(6)'s prohibition clause. Any change in this result can only come about from the pending litigation in Sea-Land Service, Inc. v. Pena. Should the government prevail in that case, MSC may petition the Commission to reopen this proceeding and reinstate its complaint.²⁷

THEREFORE, IT IS ORDERED, That the ALJ's February 1995 Order, finding that the preference cargo restriction in Article 5(i) of

²⁷ The dispute between MSC and the respondents over whether the D.C. Circuit has already decided the "law of the United States" issue must be put before the court. Accordingly, the respondents' August 9, 1995, petition to strike certain portions of MSC's Reply to Exceptions is denied.

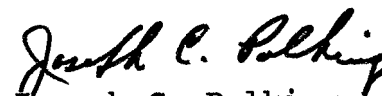
Agreement 11171 is a shipper allocation within the meaning of section 10(c)(6) of the Shipping Act of 1984, is affirmed;

IT IS FURTHER ORDERED, That the ALJ's June 1995 Order, finding that the shipper allocation was not required by the law of the United States and was therefore unlawful under section 10(c)(6), is reversed;

IT IS FURTHER ORDERED, That the "Petition of Respondents to Strike Portions of Reply of Military Sealift Command to Exceptions of Respondents and Intervenor or for Leave to Refer the Commission to Portions of the Record Submitted to the Administrative Law Judge," filed August 9, 1995, is denied:

IT IS FURTHER ORDERED, That the complaint is dismissed and this proceeding is discontinued, without prejudice to reinstitution of this proceeding upon motion to reinstate the complaint, after issuance of the mandate in D.C. Cir. No. 93-1846, Sea-Land Service, Inc. v. Pena.

By the Commission.


Joseph C. Polking
Secretary